

AI-READY HR

*The CHRO's Complete Guide to Leading the Artificial Intelligence
Revolution*

MAYUR N KOIKAR

The HR Mastery Series™ by Mayur N Koikar — Book 2

AI-Ready HR™: The CHRO's Complete Guide to Leading the Artificial Intelligence Revolution

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*For every HR leader standing at the crossroads of technology and
humanity —*

choose to lead, not follow.

"The question is not whether AI will change the world of work. It already has. The question is whether HR leaders will shape that change — or be shaped by it."

— Mayur N Koikar

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PREFACE

I did not set out to write a book about artificial intelligence.

I set out to write a book about leadership. About what it means to sit in the CHRO's chair during the most consequential decade in the history of work. About what separates the HR leaders who shape the future from those who simply respond to it.

And then I realised those two things are the same book.

Artificial intelligence is not a technology story. It is a leadership story. And right now, the leadership is missing. In boardroom after boardroom, across industries and geographies, I have watched CEOs turn to their CHRO and ask: "What is our AI strategy for the workforce?" And I have watched too many HR leaders reach for a consultant's report, a vendor's demo, or a committee recommendation — instead of an answer.

This book is my answer to that question. Not a theoretical framework built in an academic laboratory. Not a vendor pitch dressed up as thought leadership. A practitioner's guide, built on twenty-five years of leading HR at the highest levels across the GCC, India, and multinational organisations — and on the hard lessons learned when the answers were not obvious.

What I have learned is this: AI does not threaten HR. AI threatens the version of HR that refused to evolve. The HR function that was transactional. Process-driven. Reactive. Compliance-focused. That version of HR was already under pressure before the first large language model appeared.

But the HR function that thinks like a business? That connects people decisions to profit and loss? That leads talent strategy at the board level? That function is not threatened by AI. It is amplified by it.

The CHRO who reads this book and implements even a third of what it contains will be ahead of ninety percent of the profession. That is not a bold claim. It is a reflection

of how significant the gap currently is between where AI is and where most HR functions are.

This book covers the full journey: understanding what AI actually is (and is not) for HR leaders, auditing your own AI readiness, redesigning HR processes for AI augmentation, applying AI across the entire talent lifecycle, building the AI-ready workforce your organisation needs, and positioning yourself as the CHRO who leads the AI conversation rather than observing it.

Each chapter ends with role-specific checklists — for CHROs, HR Directors, HRBPs, and business leaders — because the work of making HR AI-ready is not a solo task. It requires the entire function, and the entire leadership team, to move together.

We are at the inflection point. The decisions HR leaders make in the next three years will define the workforce, the culture, and the competitive position of their organisations for the decade that follows.

I wrote this book so you can make those decisions from a position of knowledge, clarity, and confidence.

Let us begin.

Mayur N Koikar

Senior HR Leader | Author | The HR Mastery Series™

ACKNOWLEDGEMENTS

Every book is a collaboration, even when only one name appears on the cover.

To the CEOs, CHROs, and business leaders I have had the privilege of working alongside across the GCC and India — your questions shaped my thinking. The boardroom conversations where AI met HR for the first time, the honest admissions that the function was unprepared, the courage to try new things in unfamiliar territory — those conversations are in this book, though the names are not.

To the HR professionals around the world who are navigating this moment with integrity and curiosity — this book is for you. You are not behind. You are at the beginning.

To the researchers, practitioners, and thinkers at organisations like McKinsey, Deloitte, SHRM, AIHR, Gartner, Josh Bersin's team, and the World Economic Forum — your research is the empirical foundation this book stands on.

To my family — your patience and support make everything possible.

HOW TO USE THIS BOOK

This book is structured to serve you whether you read it cover to cover or navigate directly to the chapters most relevant to your current challenge.

If you are a CHRO or HR Director

Start with the Introduction and Part I to ground yourself in the strategic context, then move directly to Part IV (The Strategic AI Agenda) and Part V (The Future of HR). Return to Parts II and III when you are ready to move from strategy to implementation.

If you are an HR Business Partner or People Analytics professional

Part II and Part III will be your primary reference. Chapters 4 through 10 contain the practical frameworks and tools most directly applicable to your role.

If you are a CEO or non-HR business leader

The Introduction, Chapter 1, Chapter 3, Chapter 13, and the Conclusion will give you the leadership context you need without requiring deep HR functional knowledge.

Special Features

Each chapter includes: a chapter-opening quote, a real-world case scenario, key takeaways, a CHRO checklist you can adapt for your own leadership team, and a closing thought. The Appendices contain practical tools including the AI Readiness Diagnostic™, the HR AI Governance Charter™, and the AI ROI Calculator™ — all of which can be used directly in your organisation.

INTRODUCTION: HR'S DEFINING MOMENT

"In every era of transformation, there are those who define the new world and those who are defined by it."

— Klaus Schwab, World Economic Forum

There is a moment in every major technological revolution when the window of leadership opportunity opens. It does not stay open indefinitely. Those who move early define the new landscape. Those who hesitate find themselves navigating terrain they did not shape.

That window is open right now. For HR. For the CHRO. For the HR profession globally.

Artificial intelligence has arrived in the workplace not gradually, but all at once. In January 2023, fewer than one in five knowledge workers used AI tools regularly. By the end of 2024, that number exceeded sixty percent in advanced economies. By 2026, the World Economic Forum projects that AI will have displaced eighty-five million roles globally while creating ninety-seven million new ones — a net positive that masks an enormous transition challenge.

That transition challenge — managing the human side of the AI revolution — belongs to HR. Not to IT. Not to the strategy team. Not to an external consultant. HR.

And yet, when we examine how prepared HR functions actually are, the picture is sobering. The SHRM State of AI in HR 2025 report found that fifty-seven percent of HR professionals are not aware of AI regulations applicable to their workforce. Gartner research shows that fewer than twenty percent of HR leaders have a formal AI strategy for the function. AIHR's global survey confirms that less than thirty percent of HR teams have completed any form of AI readiness assessment.

The profession is, by its own admission, behind.

Why This Moment Matters

We have been here before. When enterprise resource planning systems arrived in the 1990s, HR either led the people change or watched IT manage it. When social media transformed employer branding in the 2010s, HR either built the strategy or watched marketing fill the vacuum. When the pandemic forced hybrid work in 2020, HR either designed the model or watched operational chaos unfold.

In every case, the HR functions that led came out stronger. More credible. More influential. More strategically positioned.

The AI revolution is the largest of these moments. And the stakes are correspondingly higher.

An HR function that leads the AI agenda will earn a seat at every strategic table. It will shape how the organisation selects, develops, rewards, and retains talent in an AI-augmented world. It will design the governance frameworks that protect the organisation from algorithmic bias, data privacy breaches, and regulatory violations. It will build the workforce of the future — not reactively, in response to disruption, but proactively, in anticipation of it.

An HR function that follows will spend the next decade catching up.

What This Book Will Do for You

This book is not about understanding AI technically. It is about understanding AI strategically — from the perspective of the HR leader who must translate its potential into business outcomes and its risks into governance structures.

By the time you finish this book, you will be able to:

Explain AI and its workforce implications in language that resonates with your CEO and board

Audit your HR function's current AI readiness across five critical dimensions

Identify the HR processes most ready for AI augmentation and design the implementation roadmap

Apply AI strategically across the full talent lifecycle — from acquisition through performance and rewards

Build the AI-ready workforce your organisation will need over the next three years
Govern AI use in HR ethically, legally, and with board-level accountability

Measure and report the ROI of AI investments in HR to your CFO and CEO

Position yourself as the executive who is leading the AI conversation, not following it

A Note on What This Book Is Not

This book does not teach you to code, build algorithms, or implement AI systems technically. It does not recommend specific AI vendors, platforms, or tools by brand name — because the technology landscape evolves faster than any book can track, and any specific endorsement would be outdated within months. What this book gives you is enduring strategic and leadership frameworks — the thinking and the approach — that will remain relevant regardless of which specific tools your organisation adopts.

This book also does not pretend that AI is risk-free, or that every application of AI in HR is beneficial. It takes seriously the ethical, legal, and human challenges that AI creates — because the HR leader who ignores those challenges is not leading. They are gambling.

How We Got Here

The AI revolution did not begin with ChatGPT. It began decades earlier, with narrow AI applications: resume screening algorithms in the early 2000s, predictive attrition models in the 2010s, chatbots for employee queries, sentiment analysis for engagement surveys. HR has been using forms of AI for years without always recognising them as such.

What changed after 2022 was the arrival of generative AI — systems capable of creating text, images, code, and analysis from natural language prompts. This shift moved AI from a specialist tool used by data scientists to an everyday productivity tool accessible to every knowledge worker. The implications for HR are profound: the very skills, roles, and processes that define the function are being reshaped in real time.

The CHRO who understands this moment — who grasps both the opportunity and the responsibility — will be among the most valuable executives in any organisation for the next decade.

That CHRO is who this book is for. Let us build that leader together.

PART I

THE AI INFLECTION POINT

What HR leaders must understand before they can lead.

Chapter 1

Chapter 1

The AI Revolution Is Not Coming — It Is Here

""The most dangerous phrase in the language is: we have always done it this way.""

— Grace Hopper, Computer Science Pioneer

AI War Room: Your Board Wants an AI Strategy in

30 Days

Observe: What exactly is the board asking for -- a point of view, a budget, a governance structure, or all three? What have competitors already announced publicly?

Orient: Where does your organization actually stand today -- fragments of AI readiness, or a genuine foundation? What's the real gap between board expectation and current state?

Decide: Choose a scope you can credibly deliver in 30 days -- a diagnostic and a roadmap, not a finished transformation -- and be explicit about what's a 30- day deliverable versus a 12-month program.

Act: Present a plan, not a promise -- a clear diagnostic finding, three priority moves, and a governance structure for who decides what next.

Business Advantage Lens: Speed

The organizations that treat AI readiness as a compliance exercise move at compliance speed. The ones that treat it as a competitive capability move at competitive speed -- and speed compounds. A six-month head start on AI-augmented recruiting or workforce planning doesn't just save six months; it's six months of better decisions the slower competitor never gets back. Frame every AI readiness conversation around how much faster the business could move, not just how much risk is being managed.

The AI Chessboard: The Competitor Who Moved

First

Position: A direct competitor announced an enterprise-wide AI deployment across recruiting and workforce planning six months ago. Your organization is still in the discussion phase.

Move 1: The competitor's recruiting cycle time drops significantly; their offer acceptance rate improves because candidates experience a faster, more responsive process.

Move 2: Your best recruiters start fielding questions from candidates about why your process feels slower and more manual by comparison.

Move 3: Your CEO reads a press mention of the competitor's AI transformation and asks your CHRO directly why there's no equivalent story to tell.

Move 4: Customers of the competitor's own products notice faster response times in adjacent functions the competitor has also modernized, reinforcing a broader efficiency reputation.

Move 5: Your own employees, aware of the competitor's reputation, begin quietly wondering whether your organization is falling behind technologically as an employer.

Move 6: The board asks the competitor's CHRO to speak at an industry event about their transformation -- and asks yours why a similar invitation hasn't come.

Your move: What's the smallest credible AI initiative you could launch in the next 90 days that changes this trajectory, and what would you need from the board to do it?

AI Leadership Behavior: Naming the Moment

Without Overstating It

The temptation when addressing an executive team about AI is either to understate the urgency (to avoid seeming alarmist) or to overstate it (to seem visionary). The leadership behavior that actually earns trust is precise calibration -- naming specifically what has already changed, backed by evidence, without extrapolating into speculation the room can't verify. Credibility on AI, more than almost any other topic, is built or lost in that first calibration.

The Scale of What Has Already Changed

When historians look back at the 2020s, they will identify this decade as the moment when artificial intelligence moved from laboratory curiosity to the defining force in global economic life. Not gradually. Not incrementally. But with a speed that has left institutions, governments, and professions scrambling to catch up.

Consider what has happened in HR alone. By 2025, more than seventy percent of large organisations globally were using at least one AI- powered HR tool — for recruiting, for engagement surveys, for learning recommendations, for workforce analytics. McKinsey's 2025 State of AI report found that forty-three percent of companies reported measurable cost reductions from AI-enabled HR automation. Deloitte's Human Capital Trends research that same year found that sixty-eight percent of HR leaders identified AI as their single greatest near-term transformation priority.

These are not forecasts. These are current realities. The AI revolution is not coming. It is here. And the question for HR leaders is not whether to engage with it, but how quickly and how strategically.

Three Waves of AI in the Workplace